AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

B294
Financial Analysis and Decision Making

Final Examination / Version: B
2024-2025 / Fall

4-Jan-2025

Number of Exam Pages: 3 including this cover sheet)	**Time Allowed:** **3 Hou**

nstructions:

Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
This is a **CLOSED** book examination. NO documents of any kind are allowed.
You **MUST** answer the questions using only the answer booklets provided
You **MUST** return the examination paper together with your answer booklets.
Do **NOT** write your answers in pencil except graphs/sketches
tudents are **NOT** allowed to use any type of dictionary or mobile phones d
camination
udents are allowed to use ***non-programmable*** calculators only (if needed).
ny form of cheating will **NOT** be tolerated and will subject you to AOU Cheating

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Question 1 (30 marks)

Briefly explain the idea behind investment appraisal (20 Marks). Also, highlight the most commonly used investment appraisal techniques and their key features. (10 Marks)

Question 2 (20 marks)

You have been provided with the following assets and liabilities details of Mutual Fund X as of February 10, 2022. Calculate its net asset value as of that date. ***Students must show all the calulations in detail.***

Particulars	Amount ($)
Investment in various securities	250,000
Cash and Cash Equivalents	10,000
Total Recievables	20,000
Short-term liabilities	7,000
Long-term liabilities	13,000
Number of Shares Outstanding	2,000

Question 3 (5 marks)

Walter Company has stocks that *pays* dividends of $3, which grow at an annual rate of 6%. If you knew that the required rate of return is 12%, calculate;

Required:

A. Calculate he amount of dividends distributed in 3 years.
B. What is the value of the stock now?

Question 4 (5 marks)

A bond issued by an American company pays $40 coupons semi-annually and has exactly two years to maturity. Its face value is $1,000 and the credit rating of the issuer is BBB. An average yield to maturity on BBB bonds with comparable maturity is 4%.

Required:

Calculate the fair price (instrinsic value) for this particular bond.

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Question 5 (40 marks)

Rana's Company has $300,000 to invest and wishes to evaluate the following two projects. Her strategic plans do not allow for projects that exceed a 4 year period to repay initial costs.

Years	X ($)	Y ($)
0	(100,000)	(120,000)
1	40,000	70,000
2	40,000	50,000
3	40,000	40,000
4	40,000	20,000
Cost of Capital	12%	12%

Required:

Use the information given to answer the following requirements.

A. Payback Period (PP) in nominal and discounted values. (10 marks)

B. Net Present Value (NPV) (10 marks)

C. Profitability Index (PI) (5 marks)

D. The internal rate of return (IRR) (hint: use 30% for X and Y) (10 marks)

E. Considering that the projects are mutually exclusive, what would you advise Rana to do? (5 marks)

Note: Students MUST show ALL calculations and can round decimals to get whole numbers.

END OF EXAM

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